

VELO · FY2026 Q1

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Velo3D, Inc. · 44 turns · 9 participants

CAST (IN ORDER OF APPEARANCE)**Operator**

Operator

Jim Sua

Chief Financial Officer

Faroon

Chief Operating Officer

Jason Schmidt

Analyst, Lake Street Capital Markets

Unidentified Participant**James Carbonero**

Investor Relations

Arun Jaldi

Chief Executive Officer

George Morema

Analyst, Pareto Ventures

Troy Jensen

Analyst, Cantor Fitzgerald

OPERATOR Operator

Greetings and welcome to the first quarter 2026 earnings call. At this time, all participants are in a listen-only mode. A question and answer session will follow the formal presentation. If anyone should require operator assistance during the conference, please press star zero on your telephone keypad. Please note this conference is being recorded. I will now turn the conference over to James Carbonero, investor relations. Thank you.

JAMES CARBONERO Investor Relations

You may be good. Thank you, operator. Good day, everyone, and welcome to Velo3D's first quarter 2026 earnings call. Before we begin, please note that today's call will contain forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995. These statements are subject to risks and uncertainties that could cause actual results to differ materially from those projected. Please refer to our press release issued earlier today, as well as our filings with the SEC including our 2025 Form 10-K for a discussion of these risks. We will also reference certain non-GAAP financial measures during the call. Reconciliations between GAAP and non-GAAP results can be found in today's press release, which is available on the investor relations section of our website. A replay of this call will also be available shortly after its conclusion. With that, I will turn the call over to our CEO, Arun Jaldi. Arun, please go ahead.

ARUN JALDI Chief Executive Officer

Good afternoon, everyone. And thank you for joining Velo3D's first quarter 2026 earnings call. 2026 is off to a strong start for Velo3D. We are seeing accelerating momentum across the business. Driven by strong execution, expanding customer demand, and increasing adoption of additive manufacturing as a true production technology across defense and aerospace markets. In the first quarter, Revenue increased 48% year over year, reflecting continuous strength across both our defense and commercial aerospace and markets as qualified programs increasingly convert into full-scale production activity. We believe this performance underscores the growth strategic, growing strategic importance of our technology. and the confidence customers are placing in Velo3D as a long-term manufacturing partner. A major highlight this quarter was continued expansion of our rapid production solution, or RPS, business, which now represents an increasingly meaningful portion of total revenue. We believe this evolution is transformational for Velo3D. Unlike traditional one-time system sales, RPS creates long-duration production relationships with repeat utilization across multiple programs, driving greater visibility, stronger customer integration, and what we believe will be improved long-

term economics for the business. As adoption accelerates, we believe this makes shift positions us to pursue more durable, high quality revenue streams and scalable. Profitable growth over time. From a profitability standpoint, we delivered positive gross margin of 17% during the quarter. A significant milestone and another strong indicator that the structural improvements we have implemented are taking hold. Gross margin expansion was driven by higher utilization rates, improved manufacturing efficiency, better absorption of fixed costs, and continued operational discipline throughout our production footprint. Importantly, we believe we are still in early innings of this margin expansion story. We expect meaningful continued progress throughout 2026. As production volumes increases, RPS continues to scale and operating leverage improves. Our backlog was approximately \$30 million compared to approximately \$31 million at year-end, reflecting a modest decline, while bookings totaled approximately \$12 million during the first quarter. Demand trends remain highly encouraging, particularly across defense and aerospace customers, pursuing larger-scale production deployments. It's important to recognize that bookings can fluctuate from quarter to quarter due to the timing of government procurement cycles and the size of individual production awards. However, the underlying pipeline continues to strengthen significantly, and we are seeing growth, growing momentum in both quality and quantity of opportunities entering the funnel. This quarter also included several landmark commercial and defense achievements that we believe further validate Velo3D's growing strategic importance within advanced manufacturing. An announcement in our latest earnings call in March, 2026. We continue to execute on our program with defense contractors, supporting the US Navy, US Army, and other defense programs. We had announced in February and \$11.5 million full-rate production contract from a major U.S. defense prime contractor. This award represents a meaningful step beyond qualification and pilot activity into scale production deployment and reflects increasing confidence in our ability to deliver complex, mission-critical components, reliable and at scale. Also in February, we had announced the Velo3D became the first additive manufacturing vendor qualified for U.S. Army ground vehicle applications. We believe the milestone is particularly significant because it establishes a new benchmark for additive manufacturing adoption within defense platforms and further expands our long-term opportunities across military sustainment and modernization programs. In March, we also announced that Velo3D was awarded a \$9.8 million five-year IDIQ contract with the Defense logistics agencies supporting the Joint Directive Manufacturing Acceptability, or JAMA, pilot project program. This award is strategically important for several reasons. First, it reinforces Velo3D's growing role within critical defense sustainment initiatives. Second, it validates the strength and reliability of our technology for Michigan critical applications. And third, it positions at the forefront of the Department of Defense's adoption of additive manufacturing solutions designed to improve readiness, resilience, and supply chain flexibility. Collectively, these wins represent more than just contract value. They demonstrate increasing institutional adoption of Velo3D technology across some of the most demanding and strategically important manufacturing environments in the world. More broadly, we continue to deepen engagement across our customer base. Existing customers are expanding utilization into additional programs, while new customers are progressing through evaluation and qualification cycles at an increasing pace. We are seeing a growing number of defense primes and tier one aerospace suppliers transition from pilot projects into multi-system production deployments. This marks an important inflection point for additive manufacturing industry and further validates our belief that the market is increasingly moving from experimentation to scale production adoption. The macro backdrop in defense remains highly favorable. Governments and defense organizations continue prioritizing modernization. Domestic manufacturing capabilities, supply chain resilience, and faster production timelines. We believe these trends align directly with Velo3D's core trends and significantly expand our long-term opportunity set. In our space, demand for complex high-performance metal components remain robust. Customers increasingly require advanced manufacturing technologies capable of delivering precision, repeatability, and scalability for mission-critical applications. And we believe Velo3D is well-positioned to meet these needs. Importantly, the pipeline itself is evolving. Not only are we seeing more opportunities overall, but we are also seeing larger, more sophisticated production opportunities emerge earlier in the sales cycle. Increasingly, customers are evaluating multi-system deployments from outset rather than beginning with single-system

installations. We view this as a strong indicator of where the industry is headed and of Velo3D's growing role in that transition. To support this growing demand environment, we are actively advancing plans for our next manufacturing capacity expansion. This expansion is expected to meaningfully increase output while also improving operational efficiency through automation, optimized workflows, and enhanced throughput capabilities. At the same time, we continue investing strategically technology roadmap. Our teams are making meaningful progress across AI-driven process optimization, advanced software integration, and next-generation manufacturing intelligence tools designed to improve consistency, accelerate cycle times, and enhance overall system performance. We're also advancing robotics integration initiatives that we believe will further increase scalability, and reduce manual intervention across production environments. Together, we expect these capabilities to move us closer to our long-term vision of fully connected intelligence manufacturing ecosystem. Ultimately, we see significant opportunities to evolve beyond discrete part production toward a closed-loop digital manufacturing platform. The customer can design, validate, optimize, and manufacture mission-critical parts using real-time production intelligence. Overall, the first quarter represents another important step forward in Velo3D's evolution. We believe we're executing against a large and expanding market opportunity driven by defense modernization, industrial reshoring, and accelerating adoption of additive manufacturing at production scale. While we are encouraged by our progress, we recognize that execution at scale brings new challenges, and we remain focused on managing costs and capital carefully as we grow. We believe Velo3D is playing an increasingly important role in this transformation. Our focus remains clear, execute with discipline, scale efficiently, deepen customer relationships, and continue investing in technologies and capabilities that will drive long-term growth, profitability, and shareholder value creation. With that, I'll turn the call over to our CFO, Jim Sua, to walk through our financial performance in more detail.

JIM SUA Chief Financial Officer

Thank you, Arun. We are pleased to start off 2026 with a strong first quarter as revenue growth accelerated and gross margin expanded, both on a year over year basis and on a sequential quarter over quarter basis. First quarter, 2026 revenue was 13.8 million, up 48% compared to 9.3 million in the year ago quarter. This increase was driven primarily by an increase in the average selling price an increase in the number of systems sold, and an increase in RPS revenue. First quarter 2026 revenue also grew 46% sequentially from \$9.4 million in the fourth quarter 2025. Gross margin for the first quarter was 17.2%. compared to gross margin of 7.5% in the year-ago quarter and negative 73.6% in the fourth quarter 2025. We are not only pleased with the gross margin improvement in the first quarter, but we also expect gross margin to improve as RPS scales and new Sapphire XC systems are built to order. Operating expenses for the first quarter were \$9.3 million, down from \$12.2 million a year ago. On a non-GAAP basis, excluding \$1.2 million of stock-based compensation, operating expenses were \$8.1 million, again down compared to \$8.8 million in the prior year quarter. demonstrating continued cost discipline without sacrificing revenue growth. GAAP net loss for the quarter was \$7 million and improved compared to a net loss of \$25 million in the year-ago quarter and also improved from a net loss of \$21.9 million in the December 2025 quarter. Non-GAAP net loss for the quarter was \$5.1 million, excluding stock-based compensation of \$1.9 million, an improvement compared to a non-GAAP net loss of \$9 million in the year-ago quarter, and also an improvement from a non-GAAP net loss of \$11.6 million in the December 2025 quarter. Adjusted EBITDA for the first quarter of 2026 improved to negative 3.6 million compared to negative 6.9 million in the first quarter of 2025 and also improved compared to negative 10 million in the December 2025 quarter. As of March 31st, 2026, we had a backlog of 30 million. slightly down compared to the 31 million at the end of December 2025 quarter, which was the largest quarterly bookings in company history and up from the 18 million backlog in the first quarter of 2025. Our backlog reflects strong demand across both defense and aerospace programs. Importantly, the composition of our backlog continues to show year-over-year growth in RPS, fueled by strong demand from both the aerospace and defense sectors. Moving on to the

balance sheet, we had \$16.6 million of cash and cash equivalents as of March 31, 2026, down from \$39 million at the end of 2025. We made significant progress on strengthening our balance sheet during the first quarter of 2026 with the completion of debt-to-equity conversions totaling \$15 million, including \$5 million converted at a premium to the company's share price on the date of conversion and full repayment of the secured note. As a result, we reduced our outstanding debt by approximately 70% to approximately \$9 million. Subsequent to quarter end and not reported on the March 31st, 2026 balance sheet, on April 27th, 2026, we further enhanced our financial position through a successful equity financing, raising approximately 50 million in gross proceeds through a firm commitment underwritten registered direct offering. These actions collectively strengthen our liquidity and provide additional flexibility to support ongoing investments in our people, operations, and growth initiatives. In summary, our strategy is gaining traction. Employee efforts are translating to positive operating and financial progress and we delivered a strong first quarter posting both revenue growth acceleration and gross margin expansion. With that, I will turn the call back to Arun for a few remarks regarding our outlook for 2026. Thank you.

ARUN JALDI Chief Executive Officer

Looking ahead, we continue to expect strong momentum through 2026. As we scale our operations and execute against growing demand across defense and commercial reflecting continued adoption of our rapid production solutions. An expansion of our large format additive manufacturing capabilities across both existing and new programs. We continue to expect sequential improvement in gross margins, with margins projected to exceed 30% in the second half of 2026, as production volumes increase and we realize further operation efficiencies, non-GAAP adjusted operating expenses are expected to remain disciplined in the range of 45 to \$55 million as we continue investing selectively to support strategic growth initiatives. Capital expenditures are expected to remain in the range of 40 million to 50 million, primarily focused on expanding production capacity. enhancing automation, and supporting the scale of our manufacturing footprint. Subject to the availability of sufficient funding, we continue to expect to achieve a bit of profitability in the second half of 2026. More broadly, we remain focused on executing the first phase of our long-term capacity expansion strategy, which envisions a potential scale production network over the next decade to support approximately 400 production systems. The investments we're making in 2026 across manufacturing infrastructure, supply chain optimization and workforce development are foundational to that plan. And we expect to provide periodic updates as we progress against key capacity milestones.

OPERATOR Operator

Thank you. And with that, we will now be conducting a question and answer session. If you would like to ask a question, please press star 1 on your telephone keypad. The confirmation tone will indicate that your line is in the question queue. You may press star 2 to remove yourself from the queue. To any participants using speaker equipment, it may be necessary to pick up the handset before pressing the star keys. One moment while we poll for questions. And our first question comes from the line of Jason Schmidt. with Lake Street capital markets. Please proceed with your question.

JASON SCHMIDT Analyst, Lake Street Capital Markets

Hey, guys. Thanks for taking my questions. Arun, just curious if you could update us on how you're thinking about the ramp of the fleet of printers this year to get to that goal of 40. And any update on the expansion plans in California would be helpful. Thank you.

FAROON Chief Operating Officer

Yeah. Jason, thank you for your question.

ARUN JALDI Chief Executive Officer

So you're talking about the fleet expansion of 400 in 10 years or...

JASON SCHMIDT Analyst, Lake Street Capital Markets

Just the expansion this year and how we should think about the ramp of printers.

ARUN JALDI Chief Executive Officer

Okay. Currently the facility has about 15 and we're building another 20 machines and we're buying back some of the machines. So that will be 40 plus machines at a full production level.

FAROON Chief Operating Officer

So sequentially we are adding more printers every quarter. according to our moral like we're ramping that more on the third quarter and fourth quarter and then and we will finish the bills of 20 plus machines this year that will put us at 40 plus production machines generating revenue by another year and the expansion plan we're expanding in California we finalized

ARUN JALDI Chief Executive Officer

one of the sites, and we will announce that pretty soon once the paper, I mean the formalities are done from these aspects. But this expansion within California will host up to 100 machines in that facility. That is phase one of our production, which will be completed within two and a half years of start of that new facility. The reason why we selected California is to reduce a lot of burden on our present teams and also reduce the OPEX overall as we grow.

FAROON Chief Operating Officer

Then we'll find out and then find better options to expand in the future. So I hope I answered all your questions.

JASON SCHMIDT Analyst, Lake Street Capital Markets

Yeah, that's helpful. And then on the last call, you mentioned some momentum in Unity. They seem to be pretty sizable. How should we think about those programs impacting the P&L both this year and 27 and beyond?

FAROON Chief Operating Officer

So most of the contracts we announced, we are hoping to capture all that backlog within 12 months. That's the time period. We have a couple of full production orders this year, which has already been announced. in March and January.

ARUN JALDI Chief Executive Officer

So that's why the push for building more machines because the capacity is parallel to what we can produce and that increases the RPS revenue. So the speed of building machines dictates how much revenue we can actually capture this year.

JASON SCHMIDT Analyst, Lake Street Capital Markets

Okay, that makes sense. And the last one from me, and I'll jump back into Q. What percentage of revenue was RPS in Q1? So it's about 25%. Perfect. Thanks a lot, guys.

FAROON Chief Operating Officer

Thank you.

OPERATOR Operator

Thank you. And our next question comes from the line of Troy Jensen with Cancer Fitzgerald. Please proceed with your question. Hey, gentlemen.

TROY JENSEN Analyst, Cantor Fitzgerald

Congrats on the results here. Maybe, Faroon, just a couple questions on the RPS. I mean, obviously, that's kind of a key story going forward. So how much of the backlog with the RPS business of the 30 million exiting Q1?

ARUN JALDI Chief Executive Officer

Yeah. So if you see, you just have the announcements, what we have won on the 11.1, that's purely RPS, 11.3. And then there is another development program.

FAROON Chief Operating Officer

So you can say half of the backlog is RPS.

TROY JENSEN Analyst, Cantor Fitzgerald

So about 15 million. Okay. And I guess my question ruined it. Like getting to the profitability goal in the second half of the year is based on your ability to kind of deploy a lot of machines and drive that RPS revenues. But just thoughts on just capacity utilization as you turn these machines on. Do you have enough? bookings right now through the end of the year to get to 40 to drive these 40 plus percent gross margins or just thoughts on utilization of the facility as you scale up?

ARUN JALDI Chief Executive Officer

So we are building these machines parallel to what the demand is and all the 40 machines will be fully occupied by end of the year with the programs we have. That's why we are sequentially building and that is not enough. This is only first quarter. there's more to come in the future so we are preparing the capacity because we expected very minimal turnaround of these but it's like what we need as a capacity now so basically we're trying our best because it's not easy to just stand up everything overnight this is manufacturing There's a supply chain and everything is involved, but we're making really good progress. I'm super impressed by my teams, how they're progressing and how they're pushing the limits to get this done. So I would rely totally on capacity. I'm not worried at all about filling those because we have more than enough work to fill them.

TROY JENSEN Analyst, Cantor Fitzgerald

Okay. And Jim, do you still stand by or endorse the goal of, I think it's EBITDA profitability in the second half of the year?

JIM SUA Chief Financial Officer

Absolutely, I do, Troy. And the way to think about it, first of all, is the past month or so, I've been spending a lot of time with our customers and also operations. And our customers keep asking us for more and what more we can do for them and how we can help out them more and more. So this is aligned with the customers. And then operationally, we see some efficiencies to help out those margins. And then Arun referred to the capacity site expansion that we're diligently working on, too. So I absolutely stand behind that guidance. Awesome.

TROY JENSEN Analyst, Cantor Fitzgerald

All right, guys. Keep up the good work.

FAROON Chief Operating Officer

Thank you.

OPERATOR Operator

Thank you. And our next question comes from the line of George Morema with Pareto Ventures. Please proceed with your question.

GEORGE MOREMA Analyst, Pareto Ventures

Good afternoon, Aaron. I've got a couple of questions. I was curious, what kind of efforts are being made to sort of ease and simplify the processes for third parties using velo machines and production of scale?

FAROON Chief Operating Officer

So I mean our field service and so basically going back to most of the platforms and services out there I mean our systems out there and just trying to see how we can fulfill our present demand with the capacity we have so That's been very receptive and we're supporting them on a financial model that actually works for both the customer and us.

GEORGE MOREMA Analyst, Pareto Ventures

Okay. You're building a nice snowball with 70% of your orders are repeat orders now. I'm sort of curious of outside of defense government procurement areas, What are the top sources and what's the sales and marketing motions to fill top of funnel outside of defense?

UNIDENTIFIED PARTICIPANT

The production orders.

FAROON Chief Operating Officer

Apart from that, energy and semiconductors and other areas which we are really focused on and we're moving ahead with some of the semiconductors. I mean, you can see the demand.

ARUN JALDI Chief Executive Officer

You can correlate the demand with AI chip and data center manufacturing, how they're increasingly in demand of the chip manufacturing equipment providers. So that correlates to what Velo does in a future generation semiconductor market. So these two areas are so intensely getting things done compared to last year.

FAROON Chief Operating Officer

And one other area you want to really focus on is energy because all these requires energy and a way of supporting energy requirements for all the infrastructure we are building here on the data side and also the equipment side and different side. So this is actually a long term

ARUN JALDI Chief Executive Officer

long-duration tailwinds, I would say, which these kind of programs can run up to decades. So that's what I would look forward on our tailwinds, what we are doing, and it's helping us tremendously.

GEORGE MOREMA Analyst, Pareto Ventures

That's phenomenal. Thanks, everyone. Thank you.

OPERATOR Operator

Thank you. And with that, there are no further questions at this time. I would like to turn the floor back over to Arun Jaldi for closing remarks.

FAROON Chief Operating Officer

Thank you everyone for supporting Velo3D and being with us and joining this call.

ARUN JALDI Chief Executive Officer

This journey has not been easy in the last 16 months of what we have done. There's a lot more to go and I truly appreciate our investors our suppliers, our employees, and everybody who is involved in this journey. And we look forward to keep going this momentum for the rest of the year and decades to come.

FAROON Chief Operating Officer

And thank you again, once again, and have a nice evening. Bye. Thank you.

OPERATOR Operator

And with that, ladies and gentlemen, this does conclude today's teleconference. Thank you for your participation. You may disconnect your lines at this time and have a wonderful rest